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August 11, 2017					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1954(F)

TAYLORS RESOURCES, INC. (USA) d/b/a BRIDGEWATER LANDING, INC. (USA)

v.

MITSUMI O.S.K. LINES LTD.

INITIAL DECISION¹

I. INTRODUCTION AND OVERVIEW.

Claimant Taylors Resources Inc (USA) d/b/a Bridgewater Landing, Inc. (USA) (Bridgewater or BLI) describes itself as “an Export Company of Plastic Licensed in the State of New Jersey.” (Amended Claim at 1). Respondent Mitsui O.S.K Lines Ltd. (Mitsui or MOL) is a vessel-operating common carrier.

Mitsui transported a 45-foot container of plastic scraps from the United States to the Port of Xingang, China, for Bridgewater pursuant to a service contract. Bridgewater’s consignee, the purchaser of the plastic, failed to pick up the shipment and the container incurred demurrage and detention charges. Mitsui eventually disposed of the cargo in the container at additional cost. On April 14, 2016, Mitsui’s agent, MOL (America), Inc., filed a lawsuit against Bridgewater in the Superior Court of New Jersey to collect the demurrage and detention charges and costs of disposal allegedly resulting from the consignee’s failure to take delivery of the cargo.

On June 14, 2016, Bridgewater commenced this proceeding at the Federal Maritime Commission (FMC or Commission) by filing a claim against Mitsui under the Commission’s

¹ The initial decision will become final unless, within twenty-two days from the date of service of the decision, either party requests review of the decision by the Commission, asserting as grounds therefor that a material finding of fact or a necessary legal conclusion is erroneous or that prejudicial error has occurred, or unless, within thirty days from the date of service of the decision, the Commission exercises its discretionary right to review the decision. 46 C.F.R. § 502.318.

informal procedures for small claims proceedings. 46 C.F.R. Subpart S. Bridgewater is represented by its owner, Jack Chiang, who is not an attorney. Mitsui filed an answer and an objection to proceeding under Subpart S. Therefore, the claim is adjudicated by a Commission administrative law judge under procedures set forth in 46 C.F.R. Subpart T. 46 C.F.R. § 502.311. *Taylor's Resources Inc (USA) d/b/a Bridgewater Landing Inc (USA) v. Mitsui O.S.K. Lines Ltd.*, FMC No. 1954(F) (ALJ Aug. 16, 2016) (Notice of Assignment) (*Taylor's/Bridgewater v. Mitsui*).²

As explained in greater detail below, Bridgewater seeks an order from the Commission answering the question “whether it is a reasonable practice for MOL to wait to assert a claim for demurrage/detention on a container for more than three years after the parties with an interest in the goods abandoned the cargo” (Amended Complaint at 1.) The Amended Complaint alleges violates of several sections of the Shipping Act.

The parties have filed their briefs and documentary evidence and this proceeding is ripe for decision. I conclude that Bridgewater has not proved that Mitsui violated the Shipping Act. Therefore, the Complaint is dismissed.

II. FACTUAL BACKGROUND.

Bridgewater and Mitsui are parties to a service contract in which Bridgewater represents its shipper status as owner of cargo. FF 2. Mitsui's tariffs and bill of lading terms are incorporated into the service contract. FF 5.

Bridgewater tendered a 45-foot container-load of plastic scraps to Mitsui for shipment from the United States to the Port of Xingang (Tianjin), China. On January 19, 2013, Mitsui issued a waybill³ for the shipment of the container. The waybill identified Bridgewater as the shipper; Tianjin Shanhai Jiafu Commercial Trade Co., Ltd. (Tianjin Shanhai Jiafu),⁴ Tianjin, China, as the consignee; Jacksonville, FL, as the port of loading; and Xingang as the port of discharge and place of delivery.

² The Complaint identified Respondent as MOL Shipping Lines. In its Answer, Respondent stated that its correct name is Mitsui O.S.K. Lines, Ltd. The caption was changed to conform with Respondent's actual name in the Notice of Assignment.

³ The Maritime Administration offers this definition of waybill: “Waybill (WB) – A document prepared by a transportation line at the point of a shipment; shows the point of the origin, destination, route, consignor, consignee, description of shipment and amount charged for the transportation service. It is forwarded with the shipment or sent by mail to the agent at the transfer point or waybill destination. Abbreviation is WB. Unlike a bill of lading, a waybill is NOT a document of title.” Maritime Administration Glossary of Shipping Terms, <http://www.thesis.xlibx.info/th-other/4312304-11-maritime-administration-glossary-shipping-terms-may-2008-maritime.php> (last visited July 19, 2017).

⁴ Tianjin Shanhai Jiafu is not a party in the proceeding.

The waybill describes the cargo as “32 pieces plastic scraps” weighing 17990 kg being transported in maritime container number MOEU0108835/3114896.⁵ FF 4. The waybill and the service contract provide that the shipment was to receive fourteen days of free detention time upon arrival at Xingang. FF 11. The terms and conditions of the waybill provide that “[i]f the Merchant fails to take delivery of the Goods within 30 days of [the end of free time],” Mitsui may “sell, destroy or dispose of the goods and apply any proceeds of sale in reduction of the sums due to [Mitsui] from the Merchant in respect of the Bill of Lading.” FF 11. “Merchant” includes the shipper and the consignee. FF 6. It is this shipment that is the subject of this proceeding.

On February 22, 2013, Mitsui issued Mitsui waybill MOLU26005510206 for container MOEU0717549 for a second Bridgewater shipment of plastic scraps to Tianjin Shanhai Jiafu. FF 12.

On March 12, 2013, the January shipment arrived at Xingang, but consignee Tianjin Shanhai Jiafu did not pick up the shipment. FF 8-10. On April 22, 2013, Mitsui notified Bridgewater by email that the consignee had failed to take delivery of the cargo. Bridgewater did not respond and on May 6, 2013, Mitsui sent Bridgewater another email requesting assistance in contacting the consignee. Bridgewater responded later that day, thanking Mitsui for the update and confirming that it would try to reach the consignee. On May 7, 2013, Mitsui again followed up with Bridgewater to ask for the consignee’s contact details. Bridgewater responded the following day that it would let Mitsui know. Following another period without contact, Mitsui followed up again on May 16, 2013, asking for assistance from Bridgewater. FF 12-18.

On May 28, 2013, Bridgewater initiated a series of emails using the subject “long stay b/l 26005510205 /26005541206” regarding both shipments Mitsui was transporting to Tianjin Shanhai Jiafu. Bridgewater stated:

As you are probably aware there is great confusion in the China plastic scrap market due to the operation Green Fence policy enacted by the Chinese government. Our original consignee for this shipment has indicated material may not clear customs in Xingang.^[6] Everyday this container collects more and more detention charges. We have another consignee lined up to take this container in Hong Kong and are requesting an economical rate so material may be unloaded from the container and MOL can have its container back. Can you help us.

FF 19. Mitsui stated that it could not transport a shipment directly to Hong Kong, but possibly could take it via Busan. Mitsui then stated it could transport the two containers to Hong Kong for

⁵ The number before the slash – MOEU0108835 – is the container number and the number after the slash – 3114896 – is the number of the seal placed on the container to provide a level of security and evidence of tampering.

⁶ In the June 13, 2017, telephone conference, Bridgewater denied that it had any contact with Tianjin Shanhai Jiafu between March and July 2013. (June 13, 2017, Transcript at 22:6-22:14.)

US\$1180 for each plus other costs and document fees totaling \$405 each. Bridgewater would also have to pay demurrage of RMB37500 for the January shipment (waybill 26005510205) and RMB12300 for the February shipment (waybill 26005541206). FF 20-26.

At some point, consignee Tianjin Shanhai Jiafu took delivery of the February shipment – container MOEU0717549 transported pursuant to Mitsui waybill MOLU26005510206 – and returned container MOEU0717549 empty on June 27, 2013. FF 27. Bridgewater believes that Tianjin Shanhai Jiafu paid the detention and demurrage charges on the February shipment. (June 13, 2017, Transcript at 21:4-19.) Neither Mitsui nor Bridgewater could explain why Tianjin Shanhai Jiafu took delivery of the February shipment but not the January shipment. (June 13, 2017, Transcript at 29:12-35:9.) Consignees of seven other Bridgewater shipments of plastic scraps also paid the detention and demurrage on the nine containers and took delivery. FF 28-29.

On July 1, 2013, Bridgewater asked Mitsui to grant free detention days for both Tianjin Shanhai Jiafu shipments and seven other shipments that it stated had been affected by the Green Fence program. The parties agree that Operation Green Fence “was a policy enacted by the Chinese Government to restrict the importation of what we would call garbage material into China.” (June 13, 2017, Transcript at 11:17-21 (testimony of Bridgewater representative John Herbst); at 14:10-12 (Mitsui agreement).) Mitsui responded that it could only grant the fourteen days set forth in its service contract. Bridgewater asked Mitsui to expand this period. After some additional email correspondence, FF 30-35, Mitsui stated: “On these shipments we are sticking to only the allowed 14 days. I had tried to plead your case because [o]f the issues you are running into related to China’s green fence, but was told we will not offer any additional free time as this [is] outside of our control.” FF 36.

The record does not show any communications between Mitsui and Bridgewater until September 30, 2013, when Mitsui sent an email to Bridgewater stating: “Please assist to advise, our destination office is still unable to contact the Consignee.” On October 1, 2013, Bridgewater told Mitsui that it, too, was unable to reach the consignee. FF 37-38. Bridgewater never arranged authorization for the shipment of container MOEU0108835 from Xingang to Hong Kong or notified Mitsui of a consignee in Hong Kong to whom it could deliver MOEU0108835. FF 39.

On January 7, 2014, Bridgewater inquired about a new service contract, the details of which were provided by Mitsui on the following day. On January 14, 2014, Mitsui provided Bridgewater with a summary of the outstanding cargo issue and asked Bridgewater for a letter of abandonment in order for Mitsui to dispose of the cargo. On January 23, 2014, Mitsui asked Bridgewater for a response. Bridgewater responded on February 3, 2014:

Please be advised that Bridgewater Landing sent the telex release and received confirmation as well. Therefore at that point Bridgewater Landing does not own the material and Bridgewater Landing CAN NOT give an abandonment letter for the material as it was sold and released to the consignee at that point. it no longer owned the cargo and was therefore unable to provide a letter of abandonment.

(MOL 068.) On February 13, 2014, Mitsui requested that Bridgewater provide Mitsui with a copy of the sales contract necessary to take legal action against the consignee in China. On February 27, 2014, Bridgewater disclaimed any responsibility for the shipment by stating that it believed the underlying sales transaction was “based on a verbal contract and that by virtue of a telex release, it no longer owned the cargo.” (MOL PFF No. 30 (not disputed by Bridgewater).) FF 40-46.

Mitsui entered into a Cargo Disposal Agreement with Shanghai Sanshi International Logistics Co., Ltd. to arrange for disposal of the cargo in container MOEU0108835. On March 6, 2015, Tianjin Development Zone Haijie Logistics Co., Ltd., issued a Customs Declaration Form for Cargo Export for Mitsui waybill MOLU11026857343 to transport container MOEU0108835 and its cargo from Xingang to Hong Kong and on March 11, 2015, Mitsui O.S.K Lines Ltd. issued waybill MOLU11026857343 for that transportation. On March 17, 2015, MOL (HK) Agency, Ltd., issued an arrival notice/debit note for Mitsui waybill MOLU11026857343, container MOEU0108835. On April 3, 2015, empty container MOEU0108835 was returned to Mitsui. FF 47-54.

On August 10, 2015, Mitsui sent the demand for payment to Bridgewater advising that the container had been abandoned in Xingang, and that Mitsui had transported the container to Hong Kong and disposed of its cargo. Mitsui demanded payment of \$87,855.60 from Bridgewater for detention, ocean freight, re-export costs, and disposal costs. When Bridgewater failed to pay, Mitsui filed the suit for breach of contract against Bridgewater at the Superior Court of New Jersey.

Bridgewater then instituted this FMC proceeding against Mitsui, alleging that Mitsui’s suit to collect the outstanding charges, Mitsui’s delay in seeking payment of the charges, and other Mitsui conduct described by Bridgewater constitute violations of the Shipping Act.

III. LITIGATION IN THE SUPERIOR COURT OF NEW JERSEY FOR MIDDLESEX COUNTY.

When Mitsui sent Bridgewater its demand for payment and Bridgewater failed to pay the demand, Mitsui filed its lawsuit against Bridgewater at the Superior Court of New Jersey for the Middlesex County Law Division on April 14, 2016. In the New Jersey action, Mitsui asserted a claim for damages in the amount of \$114,212.28, for the \$87,855.60 outstanding claim plus \$26,356.68 in attorney fees for bringing the New Jersey action. The New Jersey court has since entered default judgment against Bridgewater. FF 57-58.

IV. FEDERAL MARITIME COMMISSION PLEADINGS.

On June 14, 2016, after Mitsui filed suit in New Jersey, Bridgewater filed its Claim with the Commission alleging “[t]he controversy giving rise to the need for [an] informal complaint [arises from] a proceeding in the Superior Court of Middlesex New Jersey in which Mitsui has sued [Taylors/Bridgewater] for demurrage charges.” (Amended Complaint at 1.) On August 1, 2016, Mitsui filed an answer. On August 3, 2016, Bridgewater served and filed the Amended Complaint without filing a motion for leave to amend. The Amended Complaint added additional claims. In

a telephone conference on September 2, 2016, Mitsui stated that it did not object to the Amended Complaint as long as it would have the opportunity to file an answer. *Taylor/Bridgewater v. Mitsui*, FMC No. 1954(F) (ALJ Sept. 2, 2016) (Procedural Order). MOL filed its answer to the Amended Complaint on September 12, 2016. “It is well established that an amended complaint ordinarily supersedes the original and renders it of no legal effect.” *International Controls Corp. v. Vesco*, 556 F.2d 665, 668-669 (2d Cir. 1977), citing *Washer v. Bullitt County*, 110 U.S. 558, 562, 28 L. Ed. 249, 4 S. Ct. 249 (1884) and other authorities.

Bridgewater states:

[T]he question on which [Bridgewater] seeks to file an Informal Complaint from the Commission is whether it is a reasonable practice for MOL to wait to assert a claim for demurrage/detention on a container for more than three years CAUSED BY FAILURE OF SERVICE BY MOL after the parties with an interest in the goods abandoned the cargo in those containers and attempted to provide assistance to MOL to dispose of it, when MOL delay resulted in the accrual of demurrage charges exceeding \$114,212.28, which is many times greater than the value of the containers themselves.

(Amended Complaint at 1 (emphasis in original).)

Bridgewater alleges that Mitsui’s “delay” in notifying Bridgewater of the consignee’s failure to take delivery of the cargo is unreasonable. It contends that Mitsui acted unreasonably when it would not agree to extend the period for free time and when it refused Bridgewater’s request to export the cargo to Hong Kong for delivery to another consignee. Bridgewater claims that Mitsui had the authority to dispose of the cargo under its bill of lading terms and the Chinese Customs Act when it became clear that the consignee had abandoned the cargo. Bridgewater contends that by not exercising the authority, Mitsui failed to mitigate its damages and that its inaction in the face of its ability and duty to “get rid of the cargo and reclaim its containers” (Amended Complaint at 11) was unjust and unreasonable. Bridgewater alleges that permitting Mitsui to bring the action in New Jersey would allow it to benefit unjustly from its own unreasonable practices. Bridgewater alleges that Mitsui demonstrated a failure of service under U.C.C. § 2-609. Bridgewater alleges that Mitsui is seeking demurrage based on a Chinese tariff, not a provision of its own tariff. “For all of the foregoing reasons, [Bridgewater] respectfully requests that this petition be granted and that the Commission issue an order declaring that the detention practices described in this informal complaint are unjust and unreasonable in violation of Section 10(d)(1) . . . 46 U.S.C. § 41102(c).” (Amended Complaint at 17.)

Mitsui’s Answer admits that it transported the container to Xingang, that the consignee did not pick it up, and that Mitsui eventually disposed of the cargo in Hong Kong. Mitsui admits that it filed suit against Bridgewater in New Jersey, but denies that it filed more than three years after the claims accrued. Mitsui denies that there was any “failure of service” or that it failed to timely notify Bridgewater that the consignee had not taken delivery of the goods. Mitsui denies that it had any

legal obligation to extend the free time or reduce the detention charges. (*Id.* at 5.) Mitsui denies that the Uniform Commercial Code governing the sale of goods has any applicability between Mitsui and Bridgewater. (*Id.* at 9.) Mitsui denies that the amount of its claim in the New Jersey court is out of proportion to its actual damages or that its tariff had no applicable provisions regarding detention charges in China. (*Id.* at 10.)

V. CONTROLLING AUTHORITY.

A. Relevant Statutes.

Bridgewater filed its Complaint pursuant to section 41301 of the Act, which provides:

A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

Respondent Mitsui is a vessel-operating common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits common carriers from taking certain actions. The Complaint alleges that Mitsui violated sections 40503(3), 41102(a), 41102(c), 41104(2)(A), 41104(4)(D), and 41104(10) of the Act. (Amended Complaint at 9; Bridgewater Opening Brief at 2-3, 4, 5, 6.) The relevant portions of these sections are set forth in the discussions below.

The Amended Complaint seeks a reparations award of \$67 for the FMC filing fees paid by Bridgewater to institute this proceeding and attorney’s fees in the amount of \$45,000, which Bridgewater asserts is the amount needed to defend itself against Mitsui’s lawsuit at the Superior Court. The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

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(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Evidence and Burden of Persuasion.

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). See 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

VI. EVIDENTIARY RECORD.

All exhibits submitted by both parties are admitted into the record and are identified below.

A. Bridgewater Exhibits.

Bridgewater filed exhibits with its original Complaint, its opening brief, and its “Advise on Finding of Additional Evidence.”

1. Bridgewater exhibits filed with Bridgewater's original Complaint.

Bridgewater filed eleven exhibits attached to its original Complaint. No additional exhibits were filed with its Amended Complaint.

- Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005510205, dated January 19, 2013, for container MOEU0108835/3114896 identifying Bridgewater Landing, Inc., as the shipper, Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., as the consignee, and Xingang, China, as the port of discharge and place of delivery, and identifying the cargo as "32 pieces plastic scraps," 17990 kg Ex. 1
- Email correspondence between Mitsui and Bridgewater Ex. 2-8
- Letter dated August 10, 2015, from Mitsui to Bridgewater Landing, Inc., demanding \$87,855.60 in detention charges, container re-export costs, ocean freight and surcharges for container MOEU0108835 Ex. 9
- *MOL (America) Inc. v. Bridgewater Landing Inc. and Taylors Resources Inc.*, Docket MID-L-002082 (N.J. Super. Ct. Law Div., Middlesex Cty. Apr. 4, 2016) (complaint filed) Ex. 10
- Letter dated May 3, 2016, from Taylors Resources, Inc., to the Honorable Andrea Carter, clerk of court of Middlesex Vicinage, Appeal to Dismiss *MOL (America) Inc v. Bridgewater Landing Inc. and Taylors Resources Inc.* Ex. 11

2. Bridgewater exhibits filed with Bridgewater's opening brief on October 13, 2016.

Bridgewater filed one exhibit attached to its opening brief.

- MOL Rule Tariff Ex. 14⁷

3. Bridgewater exhibits filed with Bridgewater's "Advise on Finding of Additional Evidence" on June 23, 2017.

Bridgewater filed four exhibits with its June 23, 2017, filing.

- State Council of the People's Republic of China Decree No. 625, Chinese version WJD 001-004

⁷ I do not find a Bridgewater exhibit 12 or 13 in the record.

- State Council of the People's Republic of China Decree
No. 625, English version WJD 005-013
- Wan Ji Da (Tianjin) Commerce Trade Co., Ltd. MOL Bill of Lading –
Investigation Report, Chinese version WJD 014
- Wan Ji Da (Tianjin) Commerce Trade Co., Ltd. MOL Bill of Lading –
Investigation Report, English version WJD 015-016

Mitsui objects to admission of the Chinese and English versions of Decree No. 625 on the ground that the exhibits fail to comply with Commission Rule 7 because there is no verification of the translation. (Mitsui Response to Complainant's Submission of June 23, 2017 (filed July 12, 2017) at 1.)

Commission Rule 7 provides:

Every document, exhibit, or other paper written in a language other than English and filed with the Commission or offered in evidence in any proceeding before the Commission under this part or in response to any rule or order of the Commission pursuant to this part, shall be filed or offered in the language in which it is written and shall be accompanied by an English translation thereof duly verified under oath to be an accurate translation.

46 C.F.R. § 502.7. I note that the Chinese version of Decree No. 625 appears to have been printed from a Chinese government web site while the English version merely states "Translation by Tianjin Tianwai Translation Limited Company" with no verification under oath. (WJD 013.) Therefore, the offered translation does not comply with Rule 7. Nevertheless, given the nature of the documents and the fact that this decision does not place any reliance on Decree No. 625, the Chinese and English versions of Decree No. 625 are admitted into the record.

Mitsui objects to admission of the Chinese and English versions of Wan Ji Da Investigation Report on the ground that the exhibits fail to comply with Commission Rule 7 because there is no verification of the translation. (Mitsui Response to Complainant's Submission of June 23, 2017 (filed July 12, 2017) at 1.) Both versions were prepared by the same person – Wan Ji Da (Tianjin) Commerce Trade Co., Ltd., the company that conducted the investigation – and bear its seal. (WJD 014, 016.) Therefore, both versions are admitted into the record.

B. Mitsui Exhibits.

Mitsui filed exhibits with its answer to the Amended Complaint, its answer to an order to supplement the record, and its response to Bridgewater's submission of June 23, 2017.

1. Mitsui exhibits filed with Mitsui's answer to Amended Complaint filed September 12, 2016.

- Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005510205, dated January 19, 2013, for container MOEU0108835/3114896 identifying Bridgewater Landing Inc. as the shipper, Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., as the consignee, and Xingang, China, as the port of discharge and place of delivery, and identifying the cargo as "32 pieces plastic scraps," 17990 kg MOL 001
- Bill of lading terms for Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005510205 MOL 002-013
- Mitsui O.S.K Lines Ltd. Service Contract No. US00001RR with Bridgewater Landing, Inc., warranting Bridgewater status as owner of cargo to be shipped . . . MOL 014-025⁸
- Photographs of container MOEU0108835 and cargo MOL 026-031
- Email correspondence between Mitsui and Bridgewater MOL 032-071
- Petition for a Declaratory Order filed in *LCL Logistix (India) Pvt. Ltda*, FMC No. 14-11 (Aug. 5, 2014) (filed) MOL 072-085
- Summary of alleged factual inconsistencies between Bridgewater's Complaint and facts of this case caused by use of *LCL Logistix (India) Pvt. Ltda*, FMC No. 14-11 petition to draft Bridgewater claim MOL 086-088
- Letter dated August 10, 2015, from Mitsui O.S.K Lines Ltd. to Bridgewater Landing Inc. with detention charges for container MOEU0108835 MOL 089
- Letter dated February 11, 2016, from CTAS Transportation Collection Firm to MOL America Inc. regarding attempts at collecting from Bridgewater MOL 090
- Mitsui O.S.K Lines Ltd. waybills for various dates in 2013 identifying Bridgewater Landing Inc. as the shipper, various consignees, and Xingang, China, as the port of discharge and place of delivery and identifying the cargo as "plastic scraps" MOL 091-096; MOL 098-099

⁸ The Act provides that service contracts "shall be filed confidentially with the . . . Commission," 46 U.S.C. § 40502(b)(1), and that only essential terms will be made public. 46 U.S.C. § 40502(d). This exhibit was filed as a public filing and neither party has asked to keep the terms set forth in the exhibit confidential.

- Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005541206, dated February 22, 2013, for container MOEU0717549/C5063254 identifying Bridgewater Landing Inc. as the shipper, Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., as the consignee, and Xingang, China, as the port of discharge and place of delivery and identifying the cargo as “51 pieces plastic scraps” MOL 097
- Cargo Disposal Agreement between MOL (China) Co., Ltd., and Shanghai Sanshi International Logistics Co., Ltd., for container MOEU0108835, Chinese and English versions MOL 100-102
- Shanghai General VAT Invoice for Shanghai Sanshi International Logistics Co., Ltd. - MOL (China) Co., Ltd. transaction, Chinese and English versions MOL 103-104
- Cargo Return Shipment Disposal Agreement between China Ocean Shipping Agency Tianjin and MOL (China) Co., Ltd. for container MOEU0108835, Chinese and English versions MOL 105-106
- Mitsui O.S.K Lines Ltd. Waybill No. MOLU11026857343, dated March 11, 2015, for container MOEU0108835/3114896 identifying Tianjin Haijie Logistics Co., Ltd., as the shipper, Chi New Resource Trading Company as the consignee, Xingang, China, as the port of loading, Hong Kong as the port of discharge and place of delivery and identifying the cargo as “32 pieces plastic scraps” MOL 107
- Tianjin General VAT Invoice and Schedule of Fees for China Ocean Shipping Agency Tianjin - MOL (China) Co., Ltd. transaction, Chinese and English versions MOL 108-112
- Verification of translations of Cargo Disposal Agreement, Shanghai General VAT Invoice, Cargo Return Shipment Disposal Agreement, Tianjin General VAT Invoice, and Schedule of Fees MOL 113

2. Mitsui exhibits filed with Mitsui Amended Answer to Order to Supplement the Record filed June 12, 2017.

- Duplicates of emails at MOL 041-044 (with different pagination) MOL 114-117
- Duplicate of Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005541206 (MOL 097) with additional markings MOL 118
- Request to Release Cargo Without Original Bill of Lading, Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005541206, Chinese and English versions with verification of translation MOL 119-122

- Notice of Delivery dated March 15, 2013, Mitsui waybill MOLU26005510205, container MOEU0108835/3114896, shipper Bridgewater, consignee Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., Chinese and English versions with verification of translation MOL 123-126
- Email correspondence between Mitsui office in China and Mitsui office in U.S. seeking assistance in reaching Bridgewater MOL 127-131

3. Mitsui exhibits filed with Mitsui Response to Complainant’s Submission of June 23, 2017, filed July 12, 2017.

- Customs Declaration Form for Cargo Export declaration date March 6, 2015, for Mitsui O.S.K. Lines Ltd. Waybill No. MOLU11026857343, container MOEU0108835, export port Xingang, destination and port of discharge Hong Kong, weight 17990 kg, 32 pieces of waste plastics, Chinese and English versions MOL 133-135
- Loading list for M/V MOL Partner v.0302A including container MOEU0108835, Chinese version MOL 136-158
- Loading list for M/V MOL Partner v.0302A including container MOEU0108835, English version MOL 159-179
- Arrival Notice/Debit Note for Mitsui O.S.K Lines Ltd., Waybill No. MOLU11026857343, issued March 17, 2015, container MOEU0108835/3114896 identifying Tianjin Haijie Logistics Co., Ltd., as the shipper, Chi New Resource Trading Company as the consignee, Xingang, China, as the port of loading, Hong Kong as the port of discharge and place of delivery and identifying the cargo as “32 piece plastic scraps” 17,990 kg MOL 180
- Letter of Indemnity issued 17 Mar 2015 from Chi New Resource Trading Company to Mitsui O.S.K Lines Ltd., for Mitsui Waybill No. MOLU11026857343, container number MOEU0108835, port of loading Xingang, port of discharge and place of delivery “HK,” Chinese and English versions MOL 181-183
- Verification of translations for MOL 133-183 MOL 184
- Email correspondence dated June 2017 between Rayson Chang and Ray Wan MOL 185-187

VII. FINDINGS OF FACT.

The following findings of fact are based on the evidence and documents submitted by the parties. Some of Mitsui’s proposed findings of fact are incorporated into these findings. (*See*

(Mitsui Response Brief at 2-7 (proposed findings); Bridgewater Reply at 1-4 (stating objection or lack thereof).)

1. Respondent Mitsui is a vessel operating common carrier (VOCC). <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>.
2. Bridgewater and Mitsui entered into Service Contract No. US00001RR. (MOL 014-025.)
3. The terms of Service Contract No. US00001RR apply to the shipment at issue in this proceeding. (MOL 014-025.)
4. On January 19, 2013, Mitsui issued waybill no. MOLU26005510205 identifying Bridgewater Landing, Inc., as the shipper; Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., Tianjin, China, as the consignee; Jacksonville, FL, as the port of loading; Xingang as the port of discharge and place of delivery; and the cargo as “32 pieces plastic scraps” being transported in maritime container number MOEU0108835/3114896. (Bridgewater Ex. 1; MOL 001.)
5. In accepting the waybill, the shipper, acting on its own behalf, and on behalf of the consignee and owner of the goods, “agrees to be bound by all the stipulations, exceptions, terms and conditions on the face and back of this waybill and the applicable Bill of Lading, or tariff, as referenced.” (MOL 002.)
6. Mitsui’s Combined Transport Bill of Lading defines “Merchant” to include the shipper and the consignee. (MOL 003.)
7. Mitsui’s Combined Transport Bill of Lading provides that the “Merchant shall be liable to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fee and expenses incurred in collecting monies due to the Carrier.” (MOL 008.)
8. On March 12, 2013, container number MOEU0108835/3114896 arrived at the Port of Xingang. (Amended Complaint at 2; MOL Answer to Amended Complaint at 3; MOL 032.)
9. On March 15, 2013, China Ocean Shipping Agency Tianjin issued a Notice of Delivery for Mitsui waybill no. MOLU26005510205 for container number MOEU0108835/3114896 to consignee Tianjin Shanhai Jiafu Commercial Trade Co., Ltd. (MOL 123-126.)
10. Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., the consignee, did not pick up the shipment. (MOL 032.)
11. Under the terms of Mitsui’s bill of lading, which is incorporated into the waybill, the terms of Service Contract No. US00001RR, which incorporates Mitsui’s applicable tariff, and the terms of Mitsui’s applicable tariff, the shipment was entitled to receive fourteen days of free detention time upon arrival at the Xingang port. In addition, under the terms of the bill of

lading and service contract, the merchant (which Mitsui defines to include the shipper and the consignee) had thirty days after expiration of the free detention time to take delivery of the cargo. (MOL 001-005; MOL 011; MOL 014-022.)

12. On February 22, 2013, Mitsui issued Mitsui O.S.K Lines Ltd. Waybill No. MOLU26005541206 for container MOEU0717549/C5063254 identifying Bridgewater Landing Inc. as the shipper, Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., as the consignee, and Xingang, China, as the port of discharge and place of delivery and identifying the cargo as "51 pieces plastic scraps." (MOL 97.)
13. On April 22, 2013, Mitsui sent Bridgewater an email stating: "CNEE [Consignee of Mitsui waybill no. MOLU26005510205] did not come to switch D/O although we sent arrival notice via fax & pushed them many for many times. We checked the Cnee's agent instead but they have no mind on this shpt. The phone no. on manifest is out of service now, pls urgently adv shpr to push cnee fm your side. Tks." (Bridgewater Ex. 2; MOL 038.)
14. On May 6, 2013, Mitsui sent an email to Bridgewater: "Just left a voicemail at 801-554-8703, please assist to check and advise or forward to the correct person in charge. The container landed in Xingang on 3-12 and we are unable to contact the Consignee." (Bridgewater Ex. 3; MOL 048.)
15. On May 6, 2013, Bridgewater responded: "Thank you for the update. I am working on trying to reach the Consignee." (Bridgewater Ex. 3A; MOL 048.)
16. On May 7, 2013, Mitsui sent an email to Bridgewater: "Please assist to advise any contact details you have for the Consignee so your destination office can contact them locally." (Bridgewater Ex. 4; MOL 048.)
17. On May 8, 2013, Bridgewater responded: "I will let you [know]. Thanks." (Bridgewater Ex. 5; MOL 047.)
18. On May 16, 2013, Mitsui sent an email to Bridgewater: "Good Evening. Please assist to advise." (Bridgewater Ex. 5; MOL 047.)
19. On May 28, 2013, Bridgewater initiated a series of emails regarding both shipments to Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., subject "long stay b/l 26005510205 /26005541206," raising for the first time the possibility of transporting container MOEU0108835 to Hong Kong, stating to Mitsui representatives:

As you are probably aware there is great confusion in the China plastic scrap market due to the operation Green Fence policy enacted by the Chinese government. Our original consignee for this shipment has indicated material may not clear customs in Xingang. Everyday

this container collects more and more detention charges. We have another consignee lined up to take this container in Hong Kong and are requesting an economical rate so material may be unloaded from the container and MOL can have its container back. Can you help us.

(Bridgewater Ex. 6; MOL 036. *See also Taylors Resources Inc (USA) d/b/a Bridgewater Landing Inc (USA) v. Mitsui O.S.K. Lines Ltd.*, FMC No. 1954(F) (ALJ May 4, 2017) (Order to Supplement the Record) (**OALJ Exhibit ALPHA**); June 13, 2017, Transcript at 64:9-18.)

20. On May 29, 2013, Mitsui responded: "It looks like we are unable to carry China/Hong Kong coastal cargo as we do not have the operation rights. Perhaps an alternate country? [B]ut otherwise would suggest to strip the cntr as soon as possible." (Bridgewater Ex. 8; MOL 046.)

21. On May 29, 2013, Bridgewater responded:

We are a little confused, does not MOL have service from Xingang to Hong Kong via Busan? This is how we would like to move the material from Xingang to Hong Kong. It is not practical to de-van this material and transload into another shipping lines container. Please advise any other suggestion besides to de van the material or shipping it outside of China.

(MOL 046.)

22. On May 29, 2013, Mitsui responded:

I know we have the ability to move it but when asked for a rate was told we cannot legally do it. I don't know if moving it to Busan or any other country first would make it legal? [N]o problem asking again, but if Hong Kong is your only option I don't think there's anything else we can suggest other than to strip the cntr as soon as possible.

(MOL 035.)

23. On May 30, 2013, Mitsui replied: "Over Busan can be done, pls let us know: Ex Xingang to Hong [K]ong, via Busan transshipment USD 1180/45', Subj to Dest THC, DOC Fees." (MOL 045.)

24. On May 30, 2013, Bridgewater responded: "Thank you, over to Busan and then to Hong Kong would be good. Please confirm rate is US\$1180 Per 45 Ctr each, DTHC Cost US\$355 Total and Doc Fee US\$50.00. Both containers are to be on the same B/L. Please advise dollar amount of any other fees and total so we can arrange authorization." (MOL 045.)

25. On May 31, 2013, Mitsui responded: "This covers freight cost, but there may be other costs related to demurrage I can check on that for you and try to keep this to a minimum to get it moving." (MOL 045.)
26. On June 5, 2013, Mitsui advised Bridgewater:
- To MOL the only additional cost would be cntr detention:
26005510205: RMB37500
26005541206: RMB12300
- (MOL 050.)
27. Tianjin Shanhai Jiafu Commercial Trade Co., Ltd., the consignee, paid the detention and demurrage for container MOEU0717549 transported pursuant to Mitsui waybill MOLU26005541206, took delivery, and returned the container empty on June 27, 2013. (June 13, 2017, Transcript at 21:4-19; MOL 058.)
28. Mitsui transported at least nine more containers filled with plastic scraps on seven shipments to other consignees in Xingang for Bridgewater. (MOL 91-96, 98-99.)
29. Consignees paid the detention and demurrage for the nine other containers, took delivery, and returned the empty containers to Mitsui by June 20, 2013. (June 13, 2017, Transcript at 21:4-19; MOL 058.)
30. On July 1, 2013, Bridgewater asked for "free detention days MOL could grant to" nine enumerated shipments, including Mitsui waybill no. MOLU26005510205 for container number MOEU0108835. (MOL 058.)
31. On July 2, 2013, Mitsui responded: "the destination free time we could grant would be 14 days." (MOL 057.)
32. On July 2, 2013, Bridgewater responded: "We acknowledge that as per contract we are granted 14 days destination free time, however would appreciate your assistance in expanding this period as much as possible." (MOL 057.)
33. On July 2, 2013, Mitsui responded: "You have these cntrs out 6 weeks or more from the table you've just forwarded me is there any particular reason? Is that normal because it looks like it's almost every cntr you've moved within the last few mths." (MOL 057.)
34. On July 16, 2013, Bridgewater responded: "All containers have been affected by [] the 'Operation Green Fence' conducted by the China Custom[s]." (MOL 056.)

35. On July 31, 2013, Bridgewater followed up: “Do you have an answer for us on this regard?” (MOL 056.)
36. On July 31, 2013, Mitsui responded: “On these shipments we are sticking to only the allowed 14 days. I had tried to plead your case because [o]f the issues you are running into related to China’s green fence, but was told we will not offer any additional free time as this [is] outside of our control.” (MOL 056.)
37. The record does not show any communications between Mitsui and Bridgewater until September 30, 2013, when Mitsui sent an email Bridgewater stating: “Please assist to advise, our destination office is still unable to contact the Consignee.” (MOL 059.)
38. The record does not contain a response from Bridgewater, however, Mitsui states that “[o]n October 1, 2013, Complainant advised that it, too, was unable to reach the consignee.” (MOL Proposed Finding of Fact (“PFF”) No. 24 (not disputed).)
39. Bridgewater never arranged authorization for the shipment of container MOEU0108835 from Xingang to Hong Kong or notified Mitsui of a consignee in Hong Kong to whom it could deliver MOEU0108835. (Bridgewater Response to Order to Supplement the Record (filed May 30, 2017) at 2-3; June 13, 2017, Transcript at 65:13-66:7.)
40. On January 7, 2014, a Bridgewater representative sent an email to Mitsui asking for a copy of its service contract. MOL 064.
41. On January 14, 2014, a Mitsui representative sent an email to a Bridgewater representative regarding the shipment in question:

I was working with [a Bridgewater employee] a while back on an outstanding issue that we would need your help on there was a cntr under b/l 26005510205 that arrived Xingang on March 12, 2013, that was never picked up by the consignee. Your company was trying to find another buyer but at some point we think have now given up on that and we would like to dispose of the cargo and get our equipment back and needed an abandonment letter from you as the shipper can you help us with that because my office in China would like to put a close to this case/

(MOL 062.)

42. On January 15, 2014, Bridgewater’s representative responded: “I will forward this email to our manager. Once I got answer I will get back to u. Thanks.” (MOL 065.)

43. On January 23, 2014, Mitsui followed up with Bridgewater's representative: "Let us know if you have anything for us on this one?" (MOL 065.)

44. On February 3, 2014, Bridgewater responded to Mitsui's request for an "abandonment letter," stating:

In response to the container that was shipped under b/l 26005510205 that arrived in Xingang on March 12, 2013, that was never picked up by the consignee. Please be advised that Bridgewater Landing sent the telex release and received confirmation as well. Therefore at that point Bridgewater Landing does not own the material and Bridgewater Landing CAN NOT give an abandonment letter for the material as it was sold and released to the consignee at that point.

(MOL 068.)

45. On February 13, 2014, Mitsui responded to Bridgewater: "My China office requested if you can provide a copy of the sales contract as evidence of your collection of cargo value from the consignee? They need such documents to take legal action against the consignee in China." (MOL 068.)

46. The record does not contain a response from Bridgewater; however, Mitsui states that "on February 27, 2014, Complainant disclaimed any responsibility for the shipment by simply advising that it believed the underlying sales transaction was based on a verbal contract and that by virtue of a telex release, it no longer owned the cargo." (MOL PFF No. 30 (not disputed by Bridgewater).)

47. Mitsui entered into a Cargo Disposal Agreement with Shanghai Sanshi International Logistics Co., Ltd. to arrange for disposal of the cargo shipped pursuant to Mitsui waybill no. MOLU26005510205 in container number MOEU0108835. The Agreement required Mitsui to designate an agent to handle booking of the cargo to Hong Kong and required Shanghai Sanshi to designate a consignee to take delivery and return the empty container to a Hong Kong container yard. (MOL 100-102.)

48. On March 6, 2015, Tianjin Development Zone Haijie Logistics Co., Ltd., issued Customs Declaration Form for Cargo Export for Mitsui O.S.K. Lines Ltd. Waybill No. MOLU11026857343, container MOEU0108835, export port Xingang, destination and port of discharge Hong Kong, weight 17990 kg, 32 pieces of waste plastics. (MOL 133-135.)

49. On March 11, 2015, Mitsui O.S.K Lines Ltd. issued Waybill No. MOLU11026857343 for container MOEU0108835/3114896 identifying the vessel as MOL Partner voyage 0302A, Tianjin Haijie Logistics Co., Ltd., as the shipper, Chi New Resource Trading Company as the consignee, Xingang, China, as the port of loading, Hong Kong as the port of discharge

and place of delivery and identifying the cargo as “32 pieces plastic scraps” weight 17990 kg. (MOL 107; June 13, 2017, Transcript at 4:13-5:16.)

50. Mitsui transported container MOEU0108835 with seal number 3114896 from Xingang to Hong Kong aboard the vessel MOL Partner voyage 0302A pursuant to Mitsui O.S.K Lines Ltd. Waybill No. MOLU11026857343. (MOL 144 (Chinese); MOL 166 (English).)
51. On March 16, 2015, Mitsui entered into a Cargo Return Disposal Agreement with China Ocean Shipping Agency Tianjin to send container number MOEU0108835 outside of China for disposal. (MOL 105-106.)
52. On March 17, 2015, MOL (HK) Agency Ltd. issued arrival notice/debit note for Mitsui O.S.K. Lines Ltd. Waybill No. MOLU11026857343, container MOEU0108835, export port Xingang, destination and port of discharge Hong Kong, weight 17990 kg, 32 pieces of waste plastics. (MOL 180.)
53. On March 17, 2015, Chi New Resource Trading Company issued a Letter of Indemnity to Mitsui O.S.K Lines Ltd., for Mitsui Waybill No. MOLU11026857343, container number MOEU0108835, port of loading Xingang, port of discharge and place of delivery “HK.” (MOL 181-183.)
54. On April 3, 2015, empty container MOEU0108835 was returned empty to Mitsui. (MOL 089; Amended Answer of [Mitsui] to Order to Supplement the Record (filed June 12, 2017) at 4 and Verification signed June 12, 2017.)
55. Mitsui claims that it incurred costs in connection with the disposal of the shipment, including: an invoice for “International cargo shipment agency fee” in the amount of ¥10,000.00; \$2790 ocean freight for the transport of the shipment from Xingang to Hong Kong; Additional charges in the amount of “26730 RMB + 1850 USD” for services on the container; an invoice for “International cargo shipment agency fee” in the amount of ¥11,377.50; an invoice for “International cargo shipment agency fee” in the amount of ¥26,730.00; port storage fees in the amount of “26730 RMB + 1850 USD” for 718 days from March 12, 2013 to February 28, 2015. (MOL 103-104; MOL 107-112.)
56. On August 10, 2015, Mitsui sent a letter to Bridgewater demanding \$87,855.60 in demurrage and costs to dispose of the container to the address listed in the service contract and the waybill.⁹ The name of the shipper on the bill of lading for the transportation of the shipment

⁹ Bridgewater contends that the address was a “temporary address” (Bridgewater Opening Brief at 6) and an “out of date” address. (Bridgewater Reply at 4). The letter was sent to 700 Fennell Drive, Resaca, GA 30735 (MOL 089), the address on the waybill (MOL 001) and the service contract. (MOL 014.) Bridgewater’s receipt or lack of receipt of the letter is not relevant to the question of whether Mitsui violated the Shipping Act.

from Xingang to Hong Kong, “Tianjin [Teda] Haijie Logistics Co., Ltd.,” was erroneously referenced in the demand letter. After no response was received, Mitsui engaged the services of a collections agency which also failed to collect the amount sought. (MOL 089-090; MOL PFF No. 39 (not disputed).)¹⁰

57. On April 4, 2016, Mitsui filed suit against Bridgewater at the Superior Court of New Jersey seeking \$87,855.60 in demurrage and costs to dispose of the container. *MOL (America) Inc. v. Bridgewater Landing Inc. and Taylors Resources Inc.*, Docket MID-L-002082 (N.J. Super. Ct. Law Div., Middlesex Cty. Apr. 4, 2016) (complaint filed). (Bridgewater Ex. 10).
58. The New Jersey court entered default judgment against Bridgewater. (June 13, 2017, Transcript at 2:20-4:2.)

VIII. DISCUSSION.

Bridgewater is represented by its owner, Jack Chiang, who is not an attorney.

It is well settled that the courts are to liberally construe pro se pleadings. *Haines v. Kerner*, 404 U.S. 519, 520 (1972); *Sparrow v. United Air Lines, Inc.*, 216 F.3d 1111, 1113 n.2 (D.C. Cir. 2000). Moreover, the Court’s instruction has been construed to apply to all filings by a *pro se* litigant, not just to the pleadings alone. *Richardson v. United States*, 193 F.3d 545, 548 (D.C. Cir. 1999). See also, *Verucci Motorcycles LLC v. Senator International Ocean LLC*, 30 S.R.R. 1388, 1391 (ALJ, March 22, 2007). Courts must look to the substance of a motion rather than how it is labeled. *Butler v. Pearson*, 636 F.2d 526, 529 (D.C. Cir. 1980). Consistent with the courts’ treatment of *pro se* litigants and pleadings, administrative agencies like this Commission have tended “. . . to be more lenient even than courts in such matters.” *Bernard & Weldcraft Welding Equipment v. Supertrans International Inc.*, 29 S.R.R. 1338, 1342 (ALJ, 2002).

Verruci Motorcycles, LLC v. Senator International Ocean, LLC, FMC No. 06-05, 2008 FMC LEXIS 27, *3-4 (FMC May 7, 2008). Therefore, Bridgewater is granted some leeway with regard to procedural errors.

A. Preliminary Matter – Container MOEU0108835 and Its Cargo Were Transported from Xingang to Hong Kong.

In its opening brief, Bridgewater states:

¹⁰ Tianjin Haijie Logistics Co., Ltd., was the shipper on the transportation from Xingang to Hong Kong. (MOL 107.) Mitsui’s misidentification of the shipper in the August 10, 2015, letter is not relevant to the question of whether Mitsui violated the Shipping Act.

The court will notice that on container MOEU0108835 the seal that was placed on the container in Atlanta # 3114896 is the same seal number listed on MOL Exhibit MOL-107. Since this seal was never broken in Xingang, we may safely infer this cargo was not inspected in Xingang or rejected.

(Bridgewater Opening Brief at 3.) In its response brief, Mitsui proposed the following finding of fact: “38. The bill of lading for ocean transportation from Xingang to Hong Kong is attached as MOL-107, accompanied by invoices for the ocean freight and export charges, in Chinese (MOL-108 – MOL-109), translation of which are attached at MOL-110 – MOL-112.” (Mitsui Response Brief at 6.) Bridgewater responded: “BLI does not dispute this point cargo was re-exported, except through no fault of BLI.” (Bridgewater Reply to Respondents Mitsui O.S.K. Ltd Response to Brief at 3.)

On May 4, 2017, an order was issued requiring the parties to supplement the record with responses to questions of the undersigned seeking clarification related to the parties’ 2013 email correspondence regarding the two containers that Mitsui transported to Xingang for delivery to consignee Tianjin Shanhai Jiafu. *Taylor/Bridgewater v. Mitsui*, FMC No. 1954(F) (ALJ May 4, 2017) (Order to Supplement the Record). Mitsui responded on May 31, 2017, then filed an amended response on June 12, 2017. (Amended Answer of Respondent Mitsui . . . to Order to Supplement the Record.)

On June 6, 2017, Bridgewater submitted a request to enlarge the time to respond to Mitsui’s supplement. Bridgewater now contends that Mitsui did not transport container MOEU0108835 and its cargo of plastic scraps to Hong Kong, but disposed of the cargo by some other means in Xingang. Bridgewater noted that Mitsui stated container MOEU0108835 was returned to Mitsui in Xingang on April 3, 2015, but that waybill MOLU11026857343 has a laden on board date of “11/3/2015.” Bridgewater stated it had requested verification of that date from Mitsui. It also stated that it believed the photograph taken at the time container MOEU0108835 was opened (MOL 026) had been taken in Xingang, not Hong Kong, and that the seal number indicates it is the same seal put on the container in Atlanta, Georgia. Bridgewater sought additional time to provide verification for its claim. (Bridgewater Request for Extension (filed June 6, 2017).) Mitsui opposed the request.

The parties appeared for a telephone conference on June 13, 2017, to address Bridgewater’s request and other matters. During the conference, Bridgewater agreed that the date “11/3/2015” referred to March 11, 2015, not November 3, 2015. (June 13, 2017, Transcript at 5:4-16.) Bridgewater stated that Customs in Xingang China “show no declaration of this container being exported” to Hong Kong, that Bridgewater had gone on Mitsui’s online system and “there is no record of this bill of lading in Hong Kong, nor a record of this bill of lading existing [in] Xingang,” and that “customs in Hong Kong has no record of this bill of lading or container entering the country. So we’re wondering, first of all, if the container was ever actually exported from Xingang to Hong Kong.” (June 13, 2017, Transcript at 9:13-10:3.) Mitsui stated that the records had been archived and were no longer accessible by persons outside Mitsui. (June 13, 2017, Transcript at 59:8-13.) Bridgewater’s request for additional time was granted. *Taylor/Bridgewater v. Mitsui*, FMC No. 1954(F) (ALJ June 14, 2017) (Order on Complainant’s Request to Extend Time to Reply).

Bridgewater filed its additional information on June 23, 2017, including Chinese and English versions of State Council of the People's Republic of China Decree No. 625 and Chinese and English versions of an "MOL Bill of Lading – Investigation Report" prepared by Wan Ji Da (Tianjin) Commerce Trade Co., Ltd. (Bridgewater Advise on Finding of Additional Evidence filed June 23, 2017.) The Investigation Report purports to give the results of an inquiry into Mitsui bills of lading MOLU26005510205 and MOLU11026857343. The Report claims that "this container has been opened and the cargos auctioned off in Tianjin Xingang." (Bridgewater WJD-015.) The Report claims that Tianjin Xingang Customs "could not find any records of container been returned to origin in associated with this bill of lading MOLU26005510205." (Bridgewater WJD-015.)

Regarding MOLU11026857343, we inquired of both Tianjin Xingang Customs and TJCIQ. There have no records of export. Tianjin Xingang Customs computer system does not have this bill of lading under the export declaration of good, TJCIQ also did not have any export inspection information on this bill of lading.

We also sent inquiry via email to Hong Kong (MOL), and telephone inquiry to Hong Kong (MOL) according to Assistant Manager Rayson Chang's reply he can't located this bill of lading in the system, it never generated this bill of lading in the system.

(Bridgewater WJD 015.) The Report contends that bill of lading MOLU11026857343 is "forged" and that if the container identified in the waybill "was shipped from Tianjin to Hong Kong means (MOL) is in serious violation of China's Maritime Law. Tianjin Xingang Customs requested [Bridgewater] to provide evidences." (Bridgewater WJD 016.) "At the same time the merchant shipping (MOL) and shipper on bill of lading MOLU11026857343 will be submitted to the Tianjin Customs anti-smuggling department handles the smuggling of goods." (*Id.*)

Mitsui was provided an opportunity to respond. *Taylor's/Bridgewater v. Mitsui*, FMC No. 1954(F) (ALJ June 23, 2017) (Order Permitting Response by Respondent). On July 12, 2017, Mitsui filed its Response to Complainant's Submission of June 23, 2017, including a Customs Declaration Form for Cargo Export declaration date March 6, 2015, for Mitsui waybill MOLU11026857343/container MOEU0108835; Chinese and English versions of the loading list for M/V MOL Partner v.0302A listing container MOEU0108835; an Arrival Notice/Debit Note for Mitsui waybill MOLU11026857343/container MOEU0108835; and a Letter of Indemnity issued March 17, 2015, by Chi New Resource Trading Company to Mitsui for Mitsui waybill MOLU11026857343/container MOEU0108835. Mitsui also attached the email correspondence dated June 2017 between Rayson Chang and Ray Wan of Wan Ji Da. (MOL 133-187.)

The record contains the following documentary evidence supporting a finding that container MOEU0108835 and its cargo of thirty-two pieces of waste plastics weighing 17990 kg were transported from Xingang to Hong Kong in March 2015 for disposal:

- Cargo Disposal Agreement for cargo in container MOEU0108835 MOL 100-102

- Shanghai General VAT Invoice for MOL (China) Co., Ltd. MOL 103-104
- Cargo Return Shipment Disposal Agreement for
container MOEU0108835 MOL 105-106
- Mitsui waybill MOLU11026857343 for container MOEU0108835 MOL 107
- Tianjin General VAT Invoice and Schedule of Fees MOL 108-112
- Customs Declaration Form for Cargo Export for Mitsui
waybill MOLU11026857343 MOL 133-135
- Loading list for M/V MOL Partner v.0302A MOL 166
- Arrival Notice/Debit Note for Mitsui waybill MOLU11026857343 MOL 180
- Letter of Indemnity for Mitsui waybill MOLU11026857343 MOL 181-183

Given this documentary evidence, the belief expressed in the Investigation Report that waybill MOLU11026857343 is “forged” and Bridgewater’s contention that Mitsui disposed of the cargo in Xingang are not credible. The evidence supports a finding that Mitsui transported container MOEU0108835 to Hong Kong where Mitsui’s contractor disposed of the cargo of plastic scrap. Chinese courts, not the Commission, have jurisdiction to determine whether this was a “serious violation of China’s Maritime Law.”

B. The Commission Does Not Have Jurisdiction to Determine Claims Unrelated to the Shipping Act.

When it commenced this proceeding, Bridgewater stated it wanted the Commission to determine:

[W]hether it is a reasonable practice for MOL to wait to assert a claim for demurrage/detention on a container for more than three years CAUSED BY FAILURE OF SERVICE BY MOL after the parties with an interest in the goods abandoned the cargo in those containers and attempted to provide assistance to MOL to dispose of it, when MOL delay resulted in the accrual of demurrage charges exceeding \$114,212.28, which is many times greater than the value of the containers themselves.

(Amended Complaint at 1 (portion in CAPS added by amendment).) In its Reply Brief, Bridgewater seems to have abandoned this claim, as it states that Bridgewater’s “contention is not that MOL acted unreasonably in i[t]s delay in bring[ing] legal action in New Jersey [but that] MOL acted

unreasonably in delay of notification to Complainant on an issue of detention and then demanding an amount that could only be called exorbitant, when many other options were available to minimize damages of all parties.” (Bridgewater Reply at 4.)

Addressing the claim nonetheless, as articulated in Bridgewater’s Amended Complaint, the issue seems to be a claim that Mitsui commenced the New Jersey action after the statute of limitations had run. The Act bars the Commission from “hearing those claims, which although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.” *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994). *See also* 46 U.S.C. § 40502(f); Mitsui-Bridgewater Service Contract ¶ 18(d) (MOL 018).) The Commission does not have jurisdiction to determine whether a claim filed in a New Jersey court alleging claims related to the service contract was timely filed. That defense and all other claims and defenses alleging violations of the service contract and the contract of carriage must be addressed by the New Jersey court.

Bridgewater articulates other claims that are properly decided in the New Jersey case. Bridgewater alleges that “MOL demonstrated failure of service under UCC § 2-609. Right to Adequate Assurance of Performance.” (Amended Complaint at 12.) Bridgewater states that Mitsui was aware fourteen days after arrival of the shipment that the consignee would not pick up the cargo, and was obligated by the UCC to notify Bridgewater immediately that the shipment had not been delivered instead of waiting an additional twenty-seven days for detention charges to accrue. (*Id.* at 13.) Mitsui denies that the Uniform Commercial Code governing the sale of goods has any applicability between Mitsui and Bridgewater. (Answer to Amended Complaint at 9.)

Bridgewater did not address UCC § 2-609 in its briefs, although it did cite to the definition of good faith in UCC § 2-103(b). (Bridgewater Opening Brief at 5.) “[A party’s] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned.” *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11, slip op. at 3 (ALJ Mar. 9, 2017) (Initial Decision Granting Respondents’ Motion for Judgment on the Pleadings), *quoting Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000), *exceptions filed*, May 3, 2017.

Addressing the claim nonetheless because of Bridgewater’s *pro se* status, the Act bars the Commission from hearing those claims and they must be addressed in the New Jersey court. Therefore, the claim that Mitsui violated UCC § 2-609 is dismissed.

Bridgewater claims that Mitsui failed to mitigate its damages. This also is a claim must be addressed in the New Jersey court and is dismissed. 46 U.S.C. § 40502(f).

C. Bridgewater's Claims of Shipping Act Violations Are Not Supported by the Evidence.

Bridgewater alleges that Mitsui violated 46 U.S.C. §§ 40503(3), 41102(a), 41102(c), 41104(2)(A), 41104(4)(D), and 41104(10) of the Shipping Act of 1984.

1. Bridgewater Has Not Proved a Violation of Section 40503.

In its Amended Complaint, Bridgewater stated that it is requesting a refund of the ocean freight paid to Mitsui pursuant to section 40503. Bridgewater contends Mitsui knowingly violated section 40503(3) of the Act:

[B]y not refunding to BLI ocean freight expenses of US\$1292.00 for the failure of service demonstrated by MOL in the case of this container. BLI contends MOL failed by not offering alternatives available that would have significantly minimized losses to all parties. In particular, MOL waited 27 days after detention charges started to accrue before notifying BLI there was a problem and lack of prompt professional responses to BLI requests further compounded the situation. In addition, MOL did not offer service or notify BLI of any intention to have this cargo unloaded and stored per MOL tariff policy.

(Bridgewater Opening Brief at 4.)

Section 40503 provides:

The Federal Maritime Commission, on application of a carrier or shipper, may permit a common carrier or conference to refund a portion of the freight charges collected from a shipper, or to waive collection of a portion of the charges from a shipper, if –

(1) there is an error in a tariff, a failure to publish a new tariff, or an error in quoting a tariff, and the refund or waiver will not result in discrimination among shippers, ports, or carriers;

(2) the common carrier or conference, before filing an application for authority to refund or waive any charges for an error in a tariff or a failure to publish a tariff, has published a new tariff setting forth the rate on which the refund or waiver would be based; and

(3) the application for the refund or waiver is filed with the Commission within 180 days from the date of shipment.

46 U.S.C § 40503.

Bridgewater does not allege any of the preconditions for filing an application for refund or waiver pursuant to section 40503; that is, it does not allege that there was “an error in a tariff, a failure to publish a new tariff, or an error in quoting a tariff, and the refund or waiver will not result in discrimination among shippers, ports, or carriers,” and that Mitsui “has published a new tariff setting forth the rate on which the refund or waiver would be based.” Bridgewater’s section 40503(3) claim is dismissed.

2. Bridgewater Has Not Proved a Violation of Section 41102(a).

Bridgewater did not allege that Mitsui violated section 41102(a) of the Act in its Amended Complaint, but raised this claim for the first time in its opening brief, contending that Mitsui violated this section “by means of false billing.” (Bridgewater Opening Brief at 4, 5, 6.) In its response brief, Mitsui did not object to the fact that Bridgewater added this issue. “When an issue not raised by the pleadings is tried by the parties’ express or implied consent, it must be treated in all respects as if raised in the pleadings.” Fed. R. Civ. P. 15(b)(2), made applicable to this proceeding by 46 C.F.R. § 502.12.

Bridgewater contends Mitsui violated section 41102(a) of the Act by means of false billing. (Bridgewater Opening Brief at 4, 5, and 6.) “If MOL had off loaded this container after the expiration of free time, which was their option[, a]nother party could have purchased this scrap.” (Bridgewater Reply at 3.)

Section 41102(a) provides that “a person may not knowingly and willfully and willfully, directly or indirectly, by means of a false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 C.F.R. § 41102(a). Bridgewater does not allege or set forth evidence that Mitsui obtained ocean transportation from any carrier, much less obtained the transportation at less than the rates or charges applicable. Bridgewater has not proved that Mitsui violated section 41102(a) and this claim is dismissed.

3. Bridgewater Has Not Proved a Violation of Section 41102(c).

Bridgewater contends Mitsui violated section 41102(c) of the Act. Bridgewater asserts that as “the custodian” of the shipment, Mitsui had the right to sell the cargo but “failed to take any steps to dispose of the goods,” instead, “content[ing] itself with sending notices to [Bridgewater] after two years demanding payment of increasingly higher detention charges.” (Amended Complaint at 10-11.) Bridgewater contends that Mitsui’s inaction in the face of its ability and duty to “get rid of the cargo and reclaim its containers” was unjust and unreasonable. (*Id.* at 11.) Bridgewater asserts that the substantial difference between the demurrage charges sought by MOL – \$114,212.28 – and the value of the containers for which Mitsui claims demurrages – \$5,400 – illustrates that Mitsui’s practices are unjust and unreasonable, when the detention and related charges resulted from Mitsui’s

intentional actions. (*Id.* at 14.) Bridgewater asserts that the charges are penal in nature and thus a violation of section 41102(c). (*Id.* at 16.)

In its Opening Brief, Bridgewater argues:

MOL has asserted in the Complaint it has filed against BLI in the Superior Court of New Jersey. . . , BLI owes in excess of \$114,212.28 in detention port, ocean freight and legal fees for one container. BLI contends that MOL's failure to not allow BLI to re-export these goods or MOL not disposing of the contents in this container for two years and counting after they were abandoned.

The customs act as well as the terms and conditions of its bill of lading contracts to sell the goods, and despite MOL's obligation to mitigate its damages, is an unjust and unreasonable practice in violation of Section 10(d)(1) of the Shipping Act, 46 U.S.C. § 41102(c).

(Bridgewater Opening Brief at 8-9.) In its Reply, Bridgewater argues:

Defendant MOL contends a party in default is suppose to assume the risk, that further expenditures will be needed to remedy his breach and cannot cast this risk on plaintiff. If on the day after free detention had ended MOL had notified BLI of a breach and the consignee was not picking up the cargo. BLI would have been responsible for detention from that point on. MOL waited 27 days and ran up a detention bill and demanded BLI pay it. MOL also failed in allowing for a direct shipment to another port and when BLI agreed to ship through another port provided its bill for exorbitant detention charges. MOL failed in service to BLI. BLI contends MOL violated 46 U.S. Code [41102(c)] failing to observe just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivery of property.

(Bridgewater Reply at 5.)

Section 41102(c) provides that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). Mitsui transported container MOEU0108835 from the United States to Xingang pursuant to its service contract with Bridgewater and the waybill issued for the transportation. The container arrived in Xingang on March 12, 2013. Mitsui notified the consignee, who failed to take delivery. After many attempts to reach the consignee, on April 22, 2013, Mitsui contacted Bridgewater for assistance. When Bridgewater did not respond, on May 6, 2013, fourteen days later, Mitsui again contacted Bridgewater for assistance. Bridgewater responded that day saying it was trying to reach the consignee. On May 7, Mitsui asked for "any contact details you have for the Consignee so your destination office can contact them locally." On May 8, 2013, Bridgewater

responded: "I will let you [know]. Thanks." On May 16, 2013, Mitsui again asked for assistance. FF 2-18.

On May 28, 2013, thirty-six days after being contacted for assistance, for the first time Bridgewater raised the possibility of sending the container to Hong Kong for delivery to another consignee. After some discussion about whether Mitsui had the right to transport the container to Hong Kong, by June 5, 2013, Mitsui stated it could transport container MOEU0108835 to Hong Kong for US\$1180 plus DTHC Cost and document fee totaling US\$405. Mitsui also stated that the detention cost of RMB37500 would have to be paid. There is no record of any response from Bridgewater until July 1, 2013, when it asked for free detention. Bridgewater acknowledged that the contract granted fourteen free days, but asked that it be expanded. Mitsui asked for a reason. Two weeks later, Bridgewater responded because entry of the cargo had "been affected by [] the 'Operation Green Fence' conducted by the China Custom[s]." Mitsui denied the request: "On these shipments we are sticking to only the allowed 14 days. I had tried to plead your case because [o]f the issues you are running into related to China's green fence, but was told we will not offer any additional free time as this [is] outside of our control." Bridgewater never arranged authorization for the shipment of container MOEU0108835 from Xingang to Hong Kong or notified Mitsui of a consignee in Hong Kong to whom it could deliver container MOEU0108835. FF 19-39.

Regarding the claim that Mitsui did not notify Bridgewater until twenty-seven days after the expiration of free time, as Bridgewater acknowledged in the June 13, 2017, conference, nothing in the service contract or anything else requires Mitsui to notify Bridgewater or puts a number of days within which Mitsui must provide notice that free time has expired and a consignee did not take delivery of the cargo. (June 13, 2017, Transcript at 37:13-21.) Bridgewater claims that Mitsui's failure to exercise its right to mitigate its damages, causing the charges on the container to unduly increase and become exorbitant, (Amended Complaint at 12-13; Bridgewater Opening Brief at 8-9), is based on the service contract and within the exclusive jurisdiction of the New Jersey court. 46 U.S.C. § 40502(f). (*See also* Mitsui-Bridgewater Service Contract ¶ 18(d) (MOL 018).)

Bridgewater does not prove by the preponderance of the evidence that at any point in this process, Mitsui "fail[ed] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property," 46 U.S.C. § 41102(c), and this claim is dismissed.

4. Bridgewater Has Not Proved a Violation of Section 41104(2)(A).

Bridgewater alleges:

Moreover, MOL has not filed the detention charges it is seeking to collect from BLI in its tariff published pursuant to the Shipping Act. There are, in fact, no provisions in that tariff regarding detention of charges in China. Rather, it appears that MOL is relying on a local Chinese tariff. Section 10(b)(2)(A) of the Shipping Act, however, prohibits carriers such as MOL from providing services that are "not in

accordance with the rates, charges, classifications, rules and practices contained in a tariff published . . . under Chapter 405 of [the Shipping Act].” 46 U.S.C. §41104(2)(A). In its lawsuit, MOL is attempting to do precisely what the Shipping Act prohibits. Manifestly, it is an unjust and unreasonable practice for a carrier to blatantly violate the Shipping Act in seeking compensation from a shipper at rates not included in its publicly filed tariff.

(Amended Complaint at 15.) Bridgewater contends:

Section 10(b)(2)(A) of the Shipping Act . . . prohibits carriers such as MOL from providing services that are “not in accordance with the rates, charges, classifications, rules and practices contained in a tariff published . . . under Chapter 405 of [the Shipping Act].” 46 U.S.C. § 41104(2)(A). In its [New Jersey] lawsuit, MOL is attempting to do precisely what the Shipping Act prohibits. Manifestly, it is an unjust and unreasonable practice for a carrier to blatantly violate the Shipping Act in seeking compensation from a shipper at rates not included in its publicly filed tariff.

(Bridgewater Opening Brief at 11.)

If MOL had off loaded this container after the expiration of free time, which was their option. Another party could have purchased this scrap. BLI contends MOL violated 46 U.S. Code 41102(A) by Means of false billing and failing to observe just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivery of property.

(Bridgewater Reply at 3.)

Fully quoted, section 41104(2)(A) provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (2) provide service in the liner trade that is – (A) not in accordance with the rates, charges, classifications, rules and practices contained in a tariff published *or a service contract* entered into under chapter 405 of this title.

46 U.S.C. § 41104 (emphasis added). Mitsui provided its service to Bridgewater pursuant to the service contract between the parties. The service contract provides: “Free Time at destination, shall be 14 calendar days. In the event the free time set forth expires, detention charges shall apply per the governing tariff.” (MOL 022.) The “governing tariff” is in the record at MOL 023-025. Bridgewater has not proved that Mitsui violated section 41104(2)(A) and this claim is dismissed.

5. Bridgewater Has Not Proved a Violation of Section 41104(4)(D).

Bridgewater contends Mitsui violated section 41104(4)(D) of the Act by “engag[ing] in an unfair and unjustly discriminatory practice in the matter of loading and landing of freight.” Bridgewater alleges that Mitsui failed to follow its own tariff rule, demonstrating a failure of service so as to run up the detention/demurrage charges. (Bridgewater Opening Brief at 2.) Bridgewater alleges that Mitsui did not follow its tariff rules on demurrage 2.1.5.1 which provides that if after a period of seven days from the expiry of free time the merchant fails to remove or accept delivery of the cargo, the carrier may unpack the container and place the cargo into a warehouse. (*Id.* at 3.) Bridgewater alleges that instead Bridgewater notified it of the problem 41 days later. (*Id.*) Bridgewater argues that had Mitsui followed its own tariff policy and not delayed notifying it “for the purposes of running up a significant detention/demurrage bill”- Mitsui “could have significantly reduced exposure by all parties. (*Id.*)” Bridgewater asserts that this demonstrates a “failure in service by MOL.” (*Id.*). Bridgewater argues that while Mitsui may contend that “this cargo could not be unpacked and stored since Mitsui contended this cargo was garbage,” the seal placed on the container in Atlanta was the same seal number on the container in Xingang, thus “we may safely infer this cargo was not inspected in Xingang or rejected.” (*Id.*). Bridgewater further maintains that assuming the container was opened in Hong Kong, Bridgewater was never notified of the intended opening and thus could not have a representative available to observe and report on the quality of the cargo. (*Id.*) In addition, Bridgewater argues that since no inspection report was provided by Mitsui from a governmental inspection agency, the plastic scrap must have cleared inspection in Hong Kong Bridgewater questions the validity of any charges submitted by Mitsui from a non-governmental inspection and disposal company. (*Id.* at 3-4).

Bridgewater argues that Mitsui violated section 41104(4)(D) by failing to follow its own tariff rule in order to run up the detention/demurrage charges. (Bridgewater Opening Brief at 2.) Bridgewater argues that Mitsui did not follow its tariff rules on demurrage 2.1.5.1 which provides that if after a period of seven days from the expiry of free time the merchant fails to remove or accept delivery of the cargo, the carrier may unpack the container and place the cargo into a warehouse. (*Id.* at 3.) Bridgewater argues that instead Bridgewater notified it of the problem 41 days later. (*Id.*) Bridgewater argues that had Mitsui followed its own tariff policy and not delayed notifying it “for the purposes of running up a significant detention/demurrage bill,” Mitsui “could have significantly reduced exposure by all parties. (*Id.*)” Bridgewater contends that this demonstrates a “failure in service by Mitsui. (*Id.*)”

Section 41104(4)(D) provides: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of – . . . (D) loading and landing of freight” 46 U.S.C. § 41104(4). As discussed above, Mitsui provided its services to Bridgewater pursuant to a service contract between the parties, not pursuant to a tariff. Bridgewater’s complaint is that Mitsui did not notify Bridgewater that the consignee had failed to take delivery fourteen days after notice when free time expired, but forty-one days after the cargo could be retrieved. (Bridgewater Opening Brief at 3.) As discussed above, Bridgewater

acknowledged that nothing requires Mitsui to notify Bridgewater that a consignee did not take delivery of the cargo at the end of free time.

Regarding the claim that Mitsui did not follow tariff rule 2.1.5.1, that rule states that seven days after the expiration of free time, Mitsui “*may be entitled*” to unpack the container. (Bridgewater Ex. 14.) The tariff rule does not *require* Mitsui to unpack the container. It is likely that on most shipments on which a consignee has not taken delivery within the seven-day period, the consignee eventually takes delivery. This is what occurred for the other ten containers for which Bridgewater requested additional free time. FF 27-30. Whether or not to exercise this option is a business decision for the carrier. *See Cornell v. Princess Cruise Lines, Ltd.*, 2014 FMC LEXIS 17, 23 (FMC 2014) (it is proper to give deference to a carrier’s discretionary business decisions). It is not a Shipping Act violation for the carrier to choose not to unpack the container. Bridgewater has not proved that Mitsui violated section 41104(4)(D) and this claim is dismissed.

6. Bridgewater Has Not Proved a Violation of Section 41104(10).

Bridgewater alleges that Mitsui violated section 41104(10) by refusing to negotiate detention charges incurred in the period before Mitsui told Bridgewater that the consignee had not taken delivery. (Amended Complaint at 9.) Bridgewater contends that Mitsui “knowingly violated Section 41104(10) by unreasonably refus[ing] to deal or negotiate to minimize expenses being incurred or allow BLI to Move this container to another country that MOL had the ability to move it to.” (Bridgewater Opening Brief at 4.) Bridgewater bases this claim on the email exchanges the parties had beginning May 28, 2013, about shipping the container to Hong Kong to another consignee or for disposal.¹¹ Bridgewater contends that it wanted Mitsui to move the container to Hong Kong for sale to another party.

Defendant MOL has contended in its defense that neither the consignee nor any other party attempted to take delivery. BLI must ask the court to dismiss this defense based on evidence BLI submitted to this court in emails documenting BLI wanted to move this container to another port and another consignee and were blocked by MOL efforts through direct shipment and then demanding extortion detention charges. Based on this MOL knowing violated Section 41104(10) by unreasonably refuse to deal or negotiate to minimize expenses being incurred or allow BLI to Move this container to another country that MOL had to ability to accomplish.

(Bridgewater Reply Brief at 4.)

Section 41104(10) provides: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (10) unreasonably refuse to deal or negotiate.”

¹¹ This email chain has been compiled into one document. *See* OALJ Exhibit ALPHA attached to *Taylors/Bridgewater v. Mitsui*, FMC No. 1954(F) (ALJ May 4, 2017) (Order to Supplement the Record).

46 U.S.C. § 41104(10). To prove a violation, a complainant must establish that the common carrier unreasonably refused to deal or negotiate with the complainant. “This requires a two-part inquiry: whether [the common carrier] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth. – Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1448 (FMC 2003).

A refusal to deal or negotiate is not on its own a violation of the Shipping Act. We must also determine whether the refusal was unreasonable. *Cf., Petchem, Inc. v. Federal Maritime Comm’n*, 853 F.2d [958, 963] (D.C. Cir. 1988) (“The Shipping Act clearly contemplates the existence of permissible preferences or prejudices.”).

Id. “Refusals to deal or negotiate are factually driven and determined on a case-by-case basis.” *Id.* at 1449.

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA. All that is required is that common carriers . . . refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002).

First, it is not clear that section 41104(10) is applicable to a dispute between a shipper and carrier over detention and demurrage that were incurred during the transportation. A carrier who refuses to negotiate with a shipper about these charges is not “shutting out” the shipper from common carriage. The carriage has already occurred. The carrier is merely refusing to compromise its claim for money owed for services already provided. To the extent that in this particular case, the negotiation also related to potential transportation of container MOEU0108835 from Xingang to Hong Kong, this is not common carriage within the meaning of the Shipping Act and is not within the Commission’s jurisdiction.

Second, even if section 41104(10) requires a carrier to negotiate about these charges, it is abundantly clear that Mitsui engaged in negotiations. On May 28, 2013, Bridgewater said it had a consignee lined up in Hong Kong. After initial uncertainty, Mitsui stated it could carry the container for US\$1180, DTHC Cost US\$355 Total, and Doc Fee US\$50.00. (MOL 045.) Mitsui also stated that the detention charges of RMB37500 already incurred would have to be paid. On July 1, 2013, Bridgewater asked for free detention days, on July 2, 2013, Mitsui responded that free time would be limited to fourteen days. Bridgewater acknowledge that fact, but asked that it be expanded. Mitsui responded that Bridgewater was asking for free time for almost all of its containers. Bridgewater cited Operation Green Fence as justification, but Mitsui would not grant additional free time. FF 30-36. Bridgewater has not proved that Mitsui’s refusal to reduce the detention and demurrage charges was unreasonable. *See Cornell v. Princess Cruise Lines, Ltd, supra*. Mitsui did not refuse to move container MOEU0108835 to another country. Mitsui offered to transport the

container to Hong Kong, but Bridgewater was unwilling to pay the detention charges incurred on the shipment to Xingang calculated pursuant to the terms of the service contract and the terms and conditions of Mitsui's waybill. (June 13, 2017, Transcript at 41:12-42:3.) Bridgewater has not proved that Mitsui violated section 41104(10) and this claim is dismissed.

7. The filed rate doctrine is not relevant to this proceeding.

In its Amended Complaint, Bridgewater stated "MOL may argue that it is required, pursuant to the filed rate doctrine, to collect the detention charges as set forth in its tariff" and that "MOL should not be allowed to engage in unjust and unreasonable practices and then hide behind the filed rate doctrine to collect an exorbitant amount of money that is out of all proportion to any legitimate damages it may have suffered." (Amended Complaint at 14-15.) In its opening brief, Bridgewater reiterates "MOL may argue that it is required, pursuant to the filed rate doctrine, to collect the detention charges as set forth in its tariff." (Bridgewater Opening Brief at 11.) Mitsui did not respond to this argument and has not argued that the filed rate doctrine required it to collect the detention charges. This doctrine is not relevant to the proceeding.

IX. ATTORNEY FEES.

"In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." 46 U.S.C. § 41305(e). I find that because the claim has been dismissed, respondent Mitsui is a prevailing party in this proceeding and may be awarded reasonable attorney fees. "In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated." 46 C.F.R. § 502.254(c)(1); 46 C.F.R. § 502.321(b). *See also Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Final rule*, 81 Fed. Reg. 10508 (Mar. 1, 2016).

ORDER

Upon consideration of Bridgewater Taylors Resources, Inc., (USA) d/b/a Bridgewater Landing's Amended Complaint against respondent MOL (America), Inc., the record herein, the parties' briefs and arguments on the merits, and for the reasons stated above, it is hereby

ORDERED that the Amended Complaint against Mitsui O.S.K Lines, Ltd., be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge